MDQ PREDICTION REPORT

The Fallout of the US-Israel War on Iran

March – June 2026 | 3-Month Horizon

Scenario ID: **CS-2026-03-21-001** | Analysis Date: **21 March 2026**

Pipeline: Full (Phase 1→2→3→4) | Confidence: **0.80 HIGH**

22
Days of War

7,000+
Targets Struck

$112
Brent Crude/bbl

3.2M
Displaced

45
Hypotheses Scored

EXECUTIVE PREDICTION

Most Likely Outcome — 65–75% Confidence

The war transitions from peak kinetic intensity to a managed de-escalation stalemate by late May 2026, without formal ceasefire. Military operations shift from broad-spectrum bombardment to targeted strikes. The Strait of Hormuz partially reopens by late April–May under naval escort. The conflict does not expand into a ground invasion, but proxy warfare continues at controlled intensity.

Military Degradation

Iran's missile capacity collapsed 86–90%. Strikes decline to maintenance tempo by May.

0.81

Economic Fulcrum

Oil at $85–95/bbl. Supply chains reroute via Cape. Inflation 3.8–4.5%. No recession.

0.83

Geopolitical Shift

NATO fractures into 2 tiers. IRGC consolidates power. Russia/China practice patience.

0.80

CONFIDENCE DASHBOARD

Overall: **0.80 HIGH**

Military & Security

Abundant real-time operational data; clear degradation trajectory

0.81 HIGH

Global Economic & Energy

Strong forecaster consensus; quantifiable market data

0.83 HIGH

Geopolitical & Diplomatic

Documented alliance positions; visible political dynamics

0.80 HIGH

Humanitarian & Societal

UN/NGO reporting; but access gaps create data limitations

0.76 HIGH

27	HIGH	14	MODERATE	4	LOW	45	TOTAL

CAT-01

MILITARY & SECURITY OPERATIONS

Avg Composite: 0.81 HIGH

Combat Operations 0.81

Strikes decline from 900+/day to <100/day by May. Iran's offensive capacity eroded 86–90%. No ground invasion materializes.

Strait of Hormuz 0.84

Partial reopening by late April under US/allied naval escort. Insurance premiums 3–5x pre-war. Full normalization is 2027 timeline.

Proxy & Spillover 0.78

Hezbollah, Houthis, Iraqi PMF maintain controlled harassment. Full proxy activation does not occur. Lebanon toll surpasses 2,500.

Ceasefire Dynamics 0.80

De facto stalemate by late May. Formal talks via Oman/Swiss begin but don't conclude. Trump claims "mission accomplished".

CAT-02

GLOBAL ECONOMIC & ENERGY IMPACT

Avg Composite: 0.83 HIGH

$85–95/bbl	3.8–4.5%	12–18%	0%
Brent Stabilizes	Inflation Spike	S&P 500 Correction	Recession Risk (Q2)

Oil & Gas Trajectory 0.86

LNG spikes to $22–26/MMBtu in April (Qatar force majeure), moderates to $15–18 by June. Goldman, EIA, BofA anchor forecasts.

Supply Chain Disruption 0.83

Cape of Good Hope rerouting standard by mid-April. +10–14 transit days, $2K–$3.5K/container surcharge. Cargo rates up 45–60%.

Inflation & Monetary Policy 0.85

Fed, ECB, BoE hold rates. Core inflation sticky 2.5–3.0%. Central banks maintain “transitory” framework. One Fed cut on table Q4.

Financial Markets 0.79

S&P 500 bottoms at ~6,650–6,900 by mid-May. Credit spreads 85–110bps. VIX 28–38. Recovers 50–70% of losses by June.

CAT 02

GEOPOLITICAL & DIPLOMATIC REALIGNMENT

Avg Composite: 0.80 HIGH

US Domestic Politics 0.79

59% disapprove (CNN). War powers margin razor-thin (219–212). Trump pivots to “consolidation” by mid-April; 77% GOP base provides floor.

Alliance Dynamics 0.83

NATO fractures: US offensive vs. EU mediation track. UK defensive-only. European Council calls for moratorium on energy strikes (Mar 19).

Russia-China Positioning 0.82

Strategic patience: intelligence + spare parts to Iran, no direct intervention. Both position for post-conflict mediation and energy deals.

Iran Internal Dynamics 0.86

IRGC consolidates de facto control. Mojtaba zero public appearances in 12 days. Israeli intel confirms IRGC is decision-locus.

CAT-04

HUMANITARIAN & SOCIETAL IMPACT

Avg Composite: 0.76 HIGH

3,000+	4–5M	40–60%	50+
Projected Civilian Deaths	Displaced (by June)	Aid Funding Shortfall	Countries with Protests

Casualties & Displacement — 0.78

Health system collapse in 5–8 Iranian provinces becomes principal mortality driver. 18+ hospitals hit. WHO reports systematic damage. Lebanon toll 2,500–3,000.

Humanitarian Access — 0.72

UN flash appeal ($2.4B) faces 40–60% shortfall. INGO access constrained by combat and transport destruction. Aid delivery at 40–50% of need.

Global Societal Spillover — 0.74

Largest demonstrations in Turkey, Iraq, Pakistan, Indonesia. Diaspora drives political pressure in UK, Germany. 100K+ travelers stranded.

KEY UNCERTAINTIES & WILDCARDS

CRITICAL UNKNOWNS

1. **Strait of Hormuz Timeline**
   Each additional month of closure compounds economic damage exponentially.

2. **Iranian Retaliatory Capacity**
   Intelligence assessments of 86–90% degradation may overestimate damage if Iran concealed reserves.

3. **Trump's Political Calculus**
   7-vote House margin on war powers is razor-thin; one casualty event could flip it.

4. **IRGC Factional Coherence**
   Internal struggles make Iran simultaneously more dangerous and more negotiable.

5. **Hezbollah Activation**
   150K+ rockets = transformative threat. Full activation would fundamentally alter conflict.

TAIL RISKS (5–15% each)

- Ground invasion / Kharg Island seizure
- Iranian homeland cyber strike on US
- IRGC regime collapse → power vacuum
- China-brokered ceasefire sidelines US
- V-shaped recovery (requires rapid ceasefire)

METHODOLOGY & EVIDENCE BASE

MDQ Pipeline

Phase 1 — **Context Seeding**

Parse scenario, extract entities, refine prediction ask

Phase 2 — **MECE Expansion**

4 categories, 15 subcategories — mutually exclusive, collectively exhaustive

Phase 3 — **Hypothesis Scoring**

45 hypotheses scored: Data (70%) + Logic (30%)

Phase 4 — **Consolidation**

Filter to consideration set, synthesize MPS per subcategory

Scoring Formula

Composite = (Data × 0.70) + (Logic × 0.30)

HIGH ≥ 0.70 | MODERATE 0.45–0.69 | LOW < 0.45

Recency: ≤30d = 1.0× | All evidence ≤21 days

Key Sources (40+)

Al Jazeera — Live conflict tracking

CNN — Day-by-day military reporting

CFR — Geoeconomic analysis

WEF — Global Price Tag report

Wikipedia — 2026 Iran War

EIA — Energy outlook (Mar 2026)

Federal Reserve — FOMC (Mar 18)

European Council — Conclusions (Mar 19)

Emerson College — Polling data

CNN/CBS Polls — Public opinion

Axios, OCHA, WHO — Humanitarian

Bruegel, Chatham House — Analysis